# CHAPTER 5

# ACCOUNTING FOR MERCHANDISING OPERATIONS

**Accounting Principles, Eighth Edition**

# Study Objectives

1. Identify the differences between service and merchandising companies.
2. Explain the recording of purchases under a perpetual inventory system.
3. Explain the recording of sales revenues under a perpetual inventory system.
4. Explain the steps in the accounting cycle for a merchandising company.
5. Distinguish between a multiple-step and a single-step income statement.
6. Explain the computation and importance of gross profit.
7. Determine cost of goods sold under a periodic system.

# Accounting for Merchandising Operations

## Merchandising Operations

- Operating cycles
- Inventory systems—per petual and periodic

## Recording Purchases of Merchandise

- Freight costs
- Purchase returns and allowances
- Purchase discounts
- Summary of purchasing transactions

## Recording Sales of Merchandise

- Sales returns and allowances
- Sales discounts

## Completing the Accounting Cycle

- Adjusting entries
- Closing entries
- Summary of merchandising entries

## Forms of Financial Statements

- Multiple-step income statement
- Single-step income statement
- Classified balance sheet
- Determining cost of goods sold under a periodic system

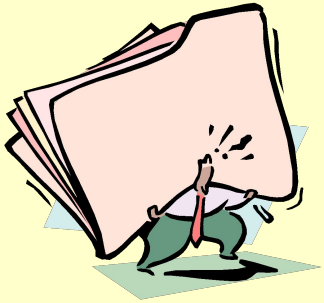
# Merchandising Operations

## Merchandising Companies

Buy and Sell Goods

Wholesaler

Retailer



Consumer

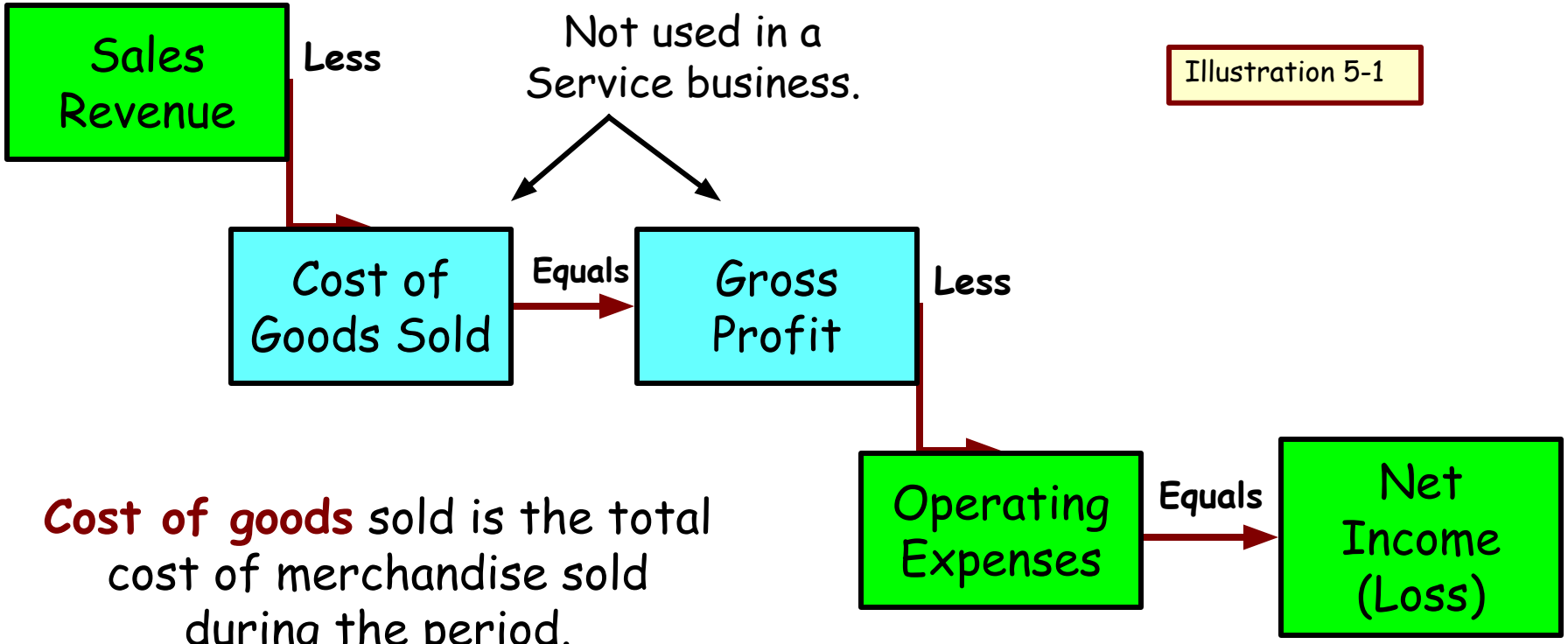
The primary source of revenues is referred to as **sales revenue** or **sales**.



*LO 1 Identify the differences between service and merchandising companies.*

# Merchandising Operations

## Income Measurement




**Cost of goods** sold is the total cost of merchandise sold during the period.

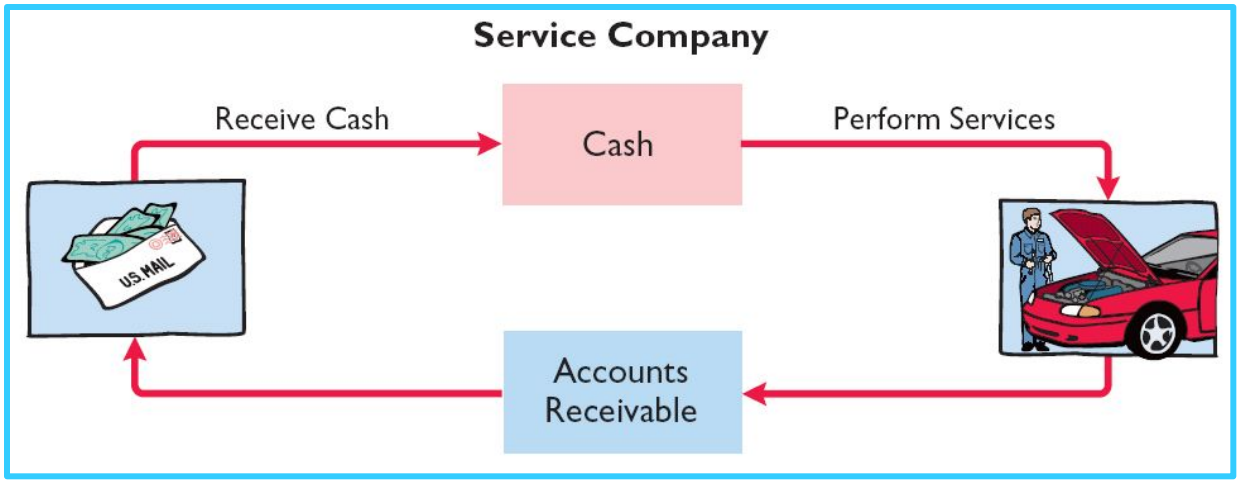


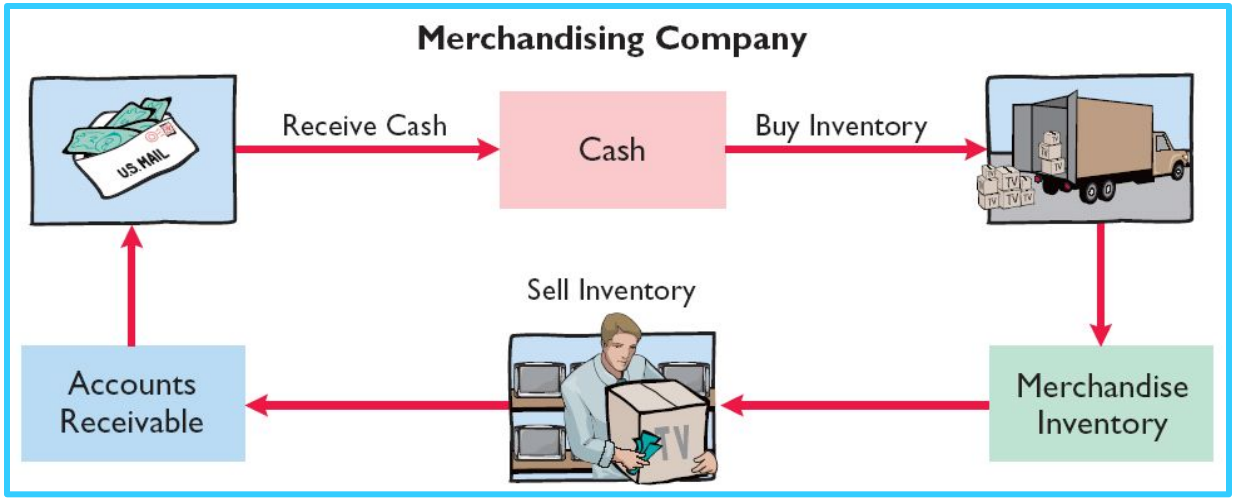
*LO 1 Identify the differences between service and merchandising companies.*

# Operating Cycles

Illustration 5-2

The operating cycle of a **merchandising company** ordinarily is longer than that of a **service company**.






*LO 1 Identify the differences between service and merchandising companies.*

# Inventory Systems

## Perpetual System

Features:

1. Purchases increase Merchandise Inventory.
2. Freight costs, Purchase Returns and Allowances and Purchase Discounts are included in Merchandise Inventory.
3. Cost of Goods Sold is increased and Merchandise Inventory is decreased for each sale.
4. Physical count done to verify Merchandise Inventory balance.

The perpetual inventory system provides a continuous record of Merchandise Inventory and Cost of Goods Sold.



*LO 1 Identify the differences between service and merchandising companies.*

# Inventory Systems

## Periodic System

Features:

1. Purchases of merchandise increase Purchases.
2. Ending Inventory determined by physical count.
3. Calculation of Cost of Goods Sold:

| | |
|---|---|
| Beginning inventory | $ 100,000 |
| Add: Purchases, net | 800,000 |
| Goods available for sale | 900,000 |
| Less: Ending inventory | 125,000 |
| Cost of goods sold | $ 775,000 |



*LO 1 Identify the differences between service and merchandising companies.*

# Recording Purchases of Merchandise

- Made using cash or credit (on account).
- Normally recorded when goods are received.
- Purchase invoice should support each credit purchase.

Illustration 5-4

INVOICE NO. 731

PW Audio Supply, Inc.
27 Circle Drive
Harding, Michigan 48281

SOLD TO

Firm Name: Sauk Stereo
Attention of: James Hoover, Purchasing Agent
Address: 125 Main Street
Chelsea (City) Illinois (State) 60915 (Zip)

| Date 5/4/08 | Salesperson Malone | Terms 2/10, n/30 | Freight Paid by Buyer | |
|---|---|---|---|---|
| **Catalog No.** | **Description** | **Quantity** | **Price** | **Amount** |
| X572Y9820 | Printed Circuit Board-prototype | 1 | 2,300 | $2,300 |
| A2547Z45 | Production Model Circuits | 5 | 300 | 1,500 |
| IMPORTANT: ALL RETURNS MUST BE MADE WITHIN 10 DAYS | | | TOTAL | $3,800 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

**E5-2** Information related to Steffens Co. is presented below. Prepare the journal entry to record the transaction under a perpetual inventory system.

1. On April 5, purchased merchandise from Bryant Company for $25,000 terms 2/10, net/30, FOB shipping point.

| | | |
|---|---|---|
| April 5 | Merchandise inventory | 25,000 |
| | Accounts payable | 25,000 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

**E5-2 Continued** Prepare the journal entry to record the transaction under a perpetual inventory system.

2. On April 6, paid freight costs of $900 on merchandise purchased from Bryant.

| | | | |
|---|---|---|---|
| April 6 | Merchandise inventory | 900 | |
| | Cash | | 900 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

**Not all purchases increase Merchandise Inventory.**

**E5-2 Continued** Prepare the journal entry to record the transaction under a perpetual inventory system.

3. On April 7, purchased equipment on account for $26,000.

| | | | |
|---|---|---|---|
| April 7 | Equipment | 26,000 | |
| | Accounts payable | | 26,000 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Freight Costs

Terms

- **FOB shipping point** - seller places goods Free On Board the carrier, and buyer pays freight costs.
- **FOB destination** - seller places the goods Free On Board to the buyer's place of business, and seller pays freight costs.

Freight costs incurred by the seller on outgoing merchandise are an operating expense to the seller (Freight-out or Delivery Expense).



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Purchase Returns and Allowances

**Purchaser may be dissatisfied** because goods are damaged or defective, of inferior quality, or do not meet specifications.

| Purchase Return | Purchase Allowance |
| --- | --- |
| Return goods for credit if the sale was made on credit, or for a cash refund if the purchase was for cash. | May choose to keep the merchandise if the seller will grant an allowance (deduction) from the purchase price. |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Review Question

In a perpetual inventory system, a return of defective merchandise by a purchaser is recorded by crediting:

a. Purchases

b. Purchase Returns

c. Purchase Allowance

d. Merchandise Inventory



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

**E5-2 Continued** Prepare the journal entry to record the transaction under a perpetual inventory system.

4. On April 8, returned damaged merchandise to Bryant Company and was granted a $4,000 credit for returned merchandise.

| | | | |
|---|---|---|---|
| April 8 | Accounts payable | 4,000 | |
| | Merchandise inventory | | 4,000 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Purchase Discounts

Credit terms may permit buyer to claim a cash discount for prompt payment.

Advantages:

- Purchaser saves money.
- Seller shortens the operating cycle.

Example: Credit terms of 2/10, n/30, is read "two-ten, net thirty." 2% cash discount if payment is made within 10 days.



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Purchase Discounts Terms

| 2/10, n/30 | 1/10 EOM | n/10 EOM |
| --- | --- | --- |
| 2% discount if paid within 10 days, otherwise net amount due within 30 days. | 1% discount if paid within first 10 days of next month. | Net amount due within the first 10 days of the next month. |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

**E5-2 Continued** Prepare the journal entry to record the transaction under a perpetual inventory system.

5. On April 15, paid the amount due to Bryant Company in full. Remember the return of $4,000 of merchandise.

**(Discount = $21,000 x 2% = $420)**

| | | | |
|---|---|---|---|
| April 15 | Accounts payable | 21,000 | |
| | Cash | 20,580 | |
| | Merchandise Inventory | | 420 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

**E5-2 Continued** Prepare the journal entry to record the transaction under a perpetual inventory system.

5. On April 15, paid the amount due to Bryant Company in full.

**What entry would be made if the company failed to pay within 10 days?**

| | | | |
|---|---|---|---|
| April 16 or later | Accounts payable | 21,000 | |
| | Cash | | 21,000 |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Purchase Discounts

Should discounts be taken when offered?

| | |
|---|---|
| Discount of 2% on $21,000 | $ 420.00 |
| $21,000 invested at 10% for 20 days | 115.07 |
| Savings by taking the discount | **$304.93** |

Passing up the discount offered equates to paying an interest rate of 2% on the use of $21,000 for 20 days.

**Example:** 2% for 20 days = Annual rate of 36.5%

(365/20 = 18.25 twenty-day periods x 2% = 36.5%)



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Purchases of Merchandise

## Summary of Purchasing Transactions

**E5-2**

| | Merchandise Inventory | | |
|---|---|---|---|
| | Debit | Credit | |
| 5th - Purchase | $25,000 | $4,000 | 8th - Return |
| 6th - Freight-in | 900 | 420 | 15th - Discount |
| Balance | $21,480 | | |



*LO 2 Explain the recording of purchases under a perpetual inventory system.*

# Recording Sales of Merchandise

- Made for cash or credit (on account).
- Normally recorded when earned, usually when goods transfer from seller to buyer.
- Sales invoice should support each credit sale.

Illustration 5-4

INVOICE NO. 731

PW Audio Supply, Inc.
27 Circle Drive
Harding, Michigan 48281

SOLD TO

Firm Name Sauk Stereo
Attention of James Hoover, Purchasing Agent
Address 125 Main Street
Chelsea (City) Illinois (State) 60915 (Zip)

| Date 5/4/08 | Salesperson Malone | Terms 2/10, n/30 | Freight Paid by Buyer | |
|---|---|---|---|---|
| Catalog No. | Description | Quantity | Price | Amount |
| X572Y9820 | Printed Circuit Board-prototype | 1 | 2,300 | $2,300 |
| A2547Z45 | Production Model Circuits | 5 | 300 | 1,500 |
| IMPORTANT: ALL RETURNS MUST BE MADE WITHIN 10 DAYS | | | TOTAL | $3,800 |



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

## Two Journal Entries to Record a Sale

**#1**

Cash or Accounts receivable XXX
    Sales XXX

Selling Price

**#2**

Cost of goods sold XXX
    Merchandise inventory XXX

Cost



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

**E5-5** Presented are transactions related to Wheeler Company.

1. On December 3,Wheeler Company sold $500,000 of merchandise to Hashmi Co., terms 2/10, n/30, FOB shipping point. The cost of the merchandise sold was $350,000.
2. On December 8, Hashmi Co. was granted an allowance of $27,000 for merchandise purchased on December 3.
3. On December 13,Wheeler Company received the balance due from Hashmi Co.

**Instructions:** Prepare the journal entries to record these transactions on the books of Wheeler Company using a perpetual inventory system.



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

**E5-5** Prepare the journal entries for Wheeler Company .

1. On December 3, Wheeler Company sold $500,000 of merchandise to Hashmi Co., terms 2/10, n/30, FOB shipping point. Cost of merchandise sold was $350,000.

| | | | |
|---|---|---|---|
| Dec. 3 | Accounts receivable | 500,000 | |
| | Sales | | 500,000 |
| | Cost of goods sold | 350,000 | |
| | Merchandise inventory | | 350,000 |



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

## Sales Returns and Allowances

- "Flipside" of purchase returns and allowances.
- Contra-revenue account (debit).
- Sales not reduced (debited) because:
  - would obscure importance of sales returns and allowances as a percentage of sales.
  - could distort comparisons between total sales in different accounting periods.



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

**E5-5 Continued** Prepare the journal entries for Wheeler Company.

2. On December 8, Hashmi Co. was granted an **allowance** of $27,000 for merchandise purchased on December 3.

| | | | |
|---|---|---|---|
| Dec. 8 | Sales returns and allowances | 27,000 | |
| | Accounts receivable | | 27,000 |



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

**E5-5 Continued** Prepare the journal entries for Wheeler Company.

2. **Variation** On Dec. 8, Hashmi Co. **returned** merchandise for credit of $27,000. The original cost of the merchandise to Wheeler was $19,800.

| | | | |
|---|---|---|---|
| Dec. 8 | Sales returns and allowances | 27,000 | |
| | Accounts receivable | | 27,000 |
| | Merchandise inventory | 19,800 | |
| | Cost of goods sold | | 19,800 |



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

## Review Question

The cost of goods sold is determined and recorded each time a sale occurs in:

a. periodic inventory system only.

b. a perpetual inventory system only.

c. both a periodic and perpetual inventory system.

d. neither a periodic nor perpetual inventory system.



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

## Sales Discount

- Offered to customers to promote prompt payment.
- "Flipside" of purchase discount.
- Contra-revenue account (debit).



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

**E5-5 Continued** Prepare the journal entries for Wheeler Company.

3. On December 13, Wheeler Company received the balance due from Hashmi Co.

| | | | | |
|---|---|---|---|---|
| Dec. 13 | Cash | 463,540 | | * |
| | Sales discounts | 9,460 | | ** |
| | Accounts receivable | | 473,000 | *** |

* ($473,000 – $9,460)

** [($500,000 – $27,000) X 2%]

*** ($500,000 – $27,000)



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

**E5-5 Continued** Prepare the sales revenue section of the income statement for Wheeler Company.

**Wheeler Company**
**Income Statement (Partial)**
**For the Month Ended Dec. 31,**

| | | |
|---|---|---|
| **Sales revenue** | | |
| Sales | | $ 500,000 |
| Less: | Sales returns and allowances | (27,000) |
| | Sales discounts | (9,460) |
| **Net sales** | | **463,540** |



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Recording Sales of Merchandise

## Discussion Question

**Q5-9** Joan Roland believes revenues from credit sales may be earned before they are collected in cash. Do you agree? Explain.

See notes page for discussion



*LO 3 Explain the recording of sales revenues under a perpetual inventory system.*

# Completing the Accounting Cycle

## Adjusting Entries

- Generally the same as a service company.
- One additional adjustment to make the records agree with the actual inventory on hand.
- Involves adjusting Merchandise Inventory and Cost of Goods Sold.



*LO 4 Explain the steps in the accounting cycle for a merchandising company.*

## Closing Entries

- Close all accounts that affect net income.

**E5-8** Presented is information related to Rogers Co. for the month of January 2008.

| | | | |
|---|---|---|---|
| Ending inventory per books | $ 21,600 | Rent expense | $ 20,000 |
| Ending inventory per count | 21,000 | Salary expense | 61,000 |
| Cost of goods sold | 218,000 | Sales discount | 10,000 |
| Freight-out | 7,000 | Sales returns | 13,000 |
| Insurance expense | 12,000 | Sales | 350,000 |

Required: (a) Prepare the necessary adjusting entry for inventory.

(b) Prepare the necessary closing entries.



*LO 4 Explain the steps in the accounting cycle for a merchandising company.*

# Completing the Accounting Cycle

**E5-8** (a) Prepare the necessary adjusting entry for inventory.

| | | |
|---|---|---|
| Cost of goods sold | 600 | |
| Merchandise inventory | | 600 |

| | |
|---|---|
| Ending inventory per books | $ 21,600 |
| Ending inventory per count | 21,000 |
| Overstatement of inventory | $ 600 |



*LO 4 Explain the steps in the accounting cycle for a merchandising company.*

# Completing the Accounting Cycle

**E5-8** (b) Prepare the necessary closing entries.

| | | |
|---|---|---|
| Sales | 350,000 | |
| Income summary | | 350,000 |

| | | |
|---|---|---|
| Income summary | 341,600 | |
| Cost of goods sold | | 218,600 |
| Freight-out | 7,000 | |
| Insurance expense | | 12,000 |
| Rent expense | 20,000 | |
| Salary expense | 61,000 | |
| Sales discounts | | 10,000 |
| Sales returns | 13,000 | |

| | | |
|---|---|---|
| Income summary | 8,400 | |
| Rogers, Capital | | 8,400 |



*LO 4 Explain the steps in the accounting cycle for a merchandising company.*

# Forms of Financial Statements

## Multiple-Step Income Statement

- Shows several steps in determining net income.
- Two steps relate to principal operating activities.
- Distinguishes between **operating** and **non-operating activities**.



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Forms of Financial Statements

**Key Items:**

- Net sales
- Gross profit
- Gross profit rate
- Operating expenses

Illustration 5-11

**PW AUDIO SUPPLY, INC.**
Income Statement
For the Year Ended December 31, 2008

| | | |
|---|---|---|
| **Sales revenues** | | |
| Sales | | $480,000 |
| Less: Sales returns and allowances | $12,000 | |
| Sales discounts | 8,000 | 20,000 |
| Net sales | | 460,000 |
| **Cost of goods sold** | | 316,000 |
| **Gross profit** | | 144,000 |
| **Operating expenses** | | |
| **Selling expenses** | | |
| Store salaries expense | 45,000 | |
| Advertising expense | 16,000 | |
| Depreciation expense—store equipment | 8,000 | |
| Freight-out | 7,000 | |
| Total selling expenses | 76,000 | |
| **Administrative expenses** | | |
| Salaries expense | 19,000 | |
| Utilities expense | 17,000 | |
| Insurance expense | 2,000 | |
| Total administrative expenses | 38,000 | |
| Total operating expenses | | 114,000 |
| **Income from operations** | | 30,000 |



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Forms of Financial Statements

Illustration 5-11

**PW AUDIO SUPPLY, INC.**
Income Statement
For the Year Ended December 31, 2008

| | | |
|---|---|---|
| **Sales revenues** | | |
| Sales | | $480,000 |
| Less: Sales returns and allowances | $12,000 | |
| Sales discounts | 8,000 | 20,000 |
| Net sales | | 460,000 |
| **Cost of goods sold** | | 316,000 |
| **Gross profit** | | 144,000 |
| **Income from operations** | | 30,000 |
| **Other revenues and gains** | | |
| Interest revenue | 3,000 | |
| Gain on sale of equipment | 600 | |
| | 3,600 | |
| **Other expenses and losses** | | |
| Interest expense | 1,800 | |
| Casualty loss from vandalism | 200 | |
| | 2,000 | |
| | | 1,600 |
| **Net income** | | $ 31,600 |

**Key Items:**

- Net sales
- Gross profit
- Gross profit rate
- Operating expenses
- Nonoperating activities
- Net income



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Forms of Financial Statements

## Review Question

The multiple-step income statement for a merchandiser shows each of the following features except:

a. gross profit.

b. cost of goods sold.

c. a sales revenue section.

d. investing activities section.



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Forms of Financial Statements

## Single-Step Income Statement

- Subtract total expenses from total revenues
- Two reasons for using the single-step format:
  1) Company does not realize any type of profit until total revenues exceed total expenses.
  2) Format is simpler and easier to read.



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Forms of Financial Statements

Illustration 5-12

## Single-Step

**PW AUDIO SUPPLY**
Income Statement
For the Year Ended December 31, 2008

| | | |
|---|---|---|
| **Revenues** | | |
| Net sales | | $460,000 |
| Interest revenue | | 3,000 |
| Gain on sale of equipment | | 600 |
| Total revenues | | 463,600 |
| **Expenses** | | |
| Cost of goods sold | $316,000 | |
| Selling expenses | 76,000 | |
| Administrative expenses | 38,000 | |
| Interest expense | 1,800 | |
| Casualty loss from vandalism | 200 | |
| Total expenses | | 432,000 |
| **Net income** | | $ 31,600 |



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Forms of Financial Statements

## Classified Balance Sheet

Illustration 5-13

**PW AUDIO SUPPLY**
Balance Sheet (Partial)
December 31, 2008

**Assets**

| | | |
|---|---|---|
| Current assets | | |
| Cash | | $ 9,500 |
| Accounts receivable | | 16,100 |
| **Merchandise inventory** | | 40,000 |
| Prepaid insurance | | 1,800 |
| Total current assets | | 67,400 |
| Property, plant, and equipment | | |
| Store equipment | $80,000 | |
| Less: Accumulated depreciation—store equipment | 24,000 | 56,000 |
| Total assets | | $123,400 |



*LO 5 Distinguish between a multiple-step and a single-step income statement.*

# Calculation of Gross Profit

Illustration 5-11

**PW AUDIO SUPPLY, INC.**
Income Statement
For the Year Ended December 31, 2008

| | | |
|---|---|---|
| **Sales revenues** | | |
| Sales | | $480,000 |
| Less: Sales returns and allowances | $12,000 | |
| Sales discounts | 8,000 | 20,000 |
| Net sales | | 460,000 |
| **Cost of goods sold** | | 316,000 |
| **Gross profit** | | 144,000 |

## Key Items:

- Net sales
- Gross profit
- Gross profit rate

| Gross Profit | ÷ | Net Sales | = | Gross Profit Rate |
|---|---|---|---|---|
| $144,000 | ÷ | $460,000 | = | 31.3% |

Illustration 5-8



*LO 6 Explain the computation and importance of gross profit.*

# Determining Cost of Goods Sold Under a Periodic System

## Periodic System

- **Separate accounts** used to record purchases, freight costs, returns, and discounts.
- Company does not maintain a running account of changes in inventory.
- Ending inventory determined by physical count.



*LO 7 Determine cost of goods sold under a periodic system.*

# Determining Cost of Goods Sold Under a Periodic System

## Calculation of Cost of Goods Sold

Illustration 5-14

| | | | |
|---|---|---|---|
| Cost of goods sold | | | |
| **Inventory, January 1** | | | **$36,000** |
| Purchases | | $325,000 | |
| Less: Purchase returns and allowances | $10,400 | | |
| Purchase discounts | 6,800 | 17,200 | |
| Net purchases | | 307,800 | |
| Add: Freight-in | | 12,200 | |
| **Cost of goods purchased** | | | **320,000** |
| Cost of goods available for sale | | | 356,000 |
| **Inventory, December 31** | | | **40,000** |
| **Cost of goods sold** | | | **$316,000** |



*LO 7 Determine cost of goods sold under a periodic system.*

## *Recording Purchases of Merchandise under a Periodic System*

***E5-17** Information related to Chevalier Co. is presented below. Prepare the journal entry to record the transaction under a periodic inventory system.

1. On April 5, purchased merchandise from Paris Company for $22,000 terms 2/10, net/30, FOB shipping point.

| | | | |
|---|---|---|---|
| April 5 | Purchases | 22,000 | |
| | Accounts payable | | 22,000 |



*LO 8* ***Explain the recording of purchases and sales of inventory under a periodic inventory system.***

# Recording Purchases of Merchandise under a Periodic System

***E5-17 Continued** Prepare the journal entry to record the transaction under a periodic inventory system.

2. On April 6, paid freight costs of $600 on merchandise purchased from Paris.

| | | | |
|---|---|---|---|
| April 6 | Freight-in (Transportation-in) | 600 | |
| | Cash | | 600 |



*LO 8* ***Explain the recording of purchases and sales of inventory under a periodic inventory system.***

## Recording Purchases of Merchandise under a Periodic System

***E5-17 Continued** Prepare the journal entry to record the transaction under a periodic inventory system.

4. On April 8, returned damaged merchandise to Paris Company and was granted a $4,000 allowance.

| | | | |
|---|---|---|---|
| April 8 | Accounts payable | 4,000 | |
| | Purchase returns and allowances | | 4,000 |



*LO 8* ***Explain the recording of purchases and sales of inventory under a periodic inventory system.***

# Recording Purchases of Merchandise under a Periodic System

***E5-17 Continued** Prepare the journal entry to record the transaction under a periodic inventory system.

5. On April 15, paid the amount due to Paris Company in full. Remember the return of $4,000 of merchandise.

**(Discount = $18,000 x 2% = $360)**

| | | | |
|---|---|---|---|
| April 15 | Accounts payable | 18,000 | |
| | Cash | | 17,640 |
| | Purchase Discounts | | 360 |



*LO 8* ***Explain the recording of purchases and sales of inventory under a periodic inventory system.***

# Recording Sales of Merchandise under a Periodic System

**E5-5** Prepare the journal entry for Wheeler Company to record a sale of merchandise under a periodic system.

1. On December 3, Wheeler Company sold $500,000 of merchandise to Hashmi Co., terms 2/10, n/30, FOB shipping point. Cost of merchandise sold was $350,000.

| | | | |
|---|---|---|---|
| Dec. 3 | Accounts receivable | 500,000 | |
| | Sales | | 500,000 |

**No entry is recorded for cost of goods sold at the time of the sale under a periodic system.**

*LO 8* *Explain the recording of purchases and sales of inventory under a periodic inventory system.*

# Worksheet for a Merchandising Company

PW Audio Supply.xls

File Edit View Insert Format Tools Data Window Help

**PW AUDIO SUPPLY**
Worksheet
For the Year Ended December 31, 2008

| Accounts | Trial Balance Dr. | Trial Balance Cr. | Adjustments Dr. | Adjustments Cr. | Adjusted Trial Balance Dr. | Adjusted Trial Balance Cr. | Income Statement Dr. | Income Statement Cr. | Balance Sheet Dr. | Balance Sheet Cr. |
|---|---|---|---|---|---|---|---|---|---|---|
| Cash | 9,500 | | | | 9,500 | | | | 9,500 | |
| Accounts Receivable | 16,100 | | | | 16,100 | | | | 16,100 | |
| Merchandise Inventory | 40,500 | | | (a) 500 | 40,000 | | | | 40,000 | |
| Prepaid Insurance | 3,800 | | | (b) 2,000 | 1,800 | | | | 1,800 | |
| Store Equipment | 80,000 | | | | 80,000 | | | | 80,000 | |
| Accumulated Depreciation | | 16,000 | | (c) 8,000 | | 24,000 | | | | 24,000 |
| Accounts Payable | | 20,400 | | | | 20,400 | | | | 20,400 |
| R. A. Lamb, Capital | | 83,000 | | | | 83,000 | | | | 83,000 |
| R. A. Lamb, Drawing | 15,000 | | | | 15,000 | | | | 15,000 | |
| Sales | | 480,000 | | | | 480,000 | | 480,000 | | |
| Sales Returns and Allowances | 12,000 | | | | 12,000 | | 12,000 | | | |
| Sales Discounts | 8,000 | | | | 8,000 | | 8,000 | | | |
| Cost of Goods Sold | 315,500 | | (a) 500 | | 316,000 | | 316,000 | | | |
| Freight-out | 7,000 | | | | 7,000 | | 7,000 | | | |
| Advertising Expense | 16,000 | | | | 16,000 | | 16,000 | | | |
| Admin. Sal. Exp. | 19,000 | | | | 19,000 | | 19,000 | | | |
| Store Salaries Expense | 40,000 | | (d) 5,000 | | 45,000 | | 45,000 | | | |
| Utilities Expense | 17,000 | | | | 17,000 | | 17,000 | | | |
| Totals | 599,400 | 599,400 | | | | | | | | |
| Insurance Expense | | | (b) 2,000 | | 2,000 | | 2,000 | | | |
| Depreciation Expense | | | (c) 8,000 | | 8,000 | | 8,000 | | | |
| Salaries Payable | | | | (d) 5,000 | | 5,000 | | | | 5,000 |
| Totals | | | 15,500 | 15,500 | 612,400 | 612,400 | 450,000 | 480,000 | 162,400 | 132,400 |
| Net Income | | | | | | | 30,000 | | | 30,000 |
| Totals | | | | | | | 480,000 | 480,000 | 162,400 | 162,400 |

Key: (a) Adjustment to inventory on hand, (b) Insurance expired, (c) Depreciation expense, (d) Salaries accrued.

Illustration 5B-1

*LO 9 Prepare a worksheet for a merchandising company.*

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